

Everyone wants to earn a fair return on his or her investments after inflation and taxes. This will require risk and probably losing money on occasion. All the broadly diversified portfolios introduced in this book have inherent risk and will go down in value periodically. It would be nice to know when these losses will occur so that we can sell beforehand, but that is simply not possible. No one can predict with any consistency when the markets will go up or down. If a person tells you she has found the secret to the markets, she is either naive or she is trying to steal your money. Either way, smile and walk.

There is no free lunch on Wall Street, and the asset allocation strategies in this book do not provide a free lunch either. Proper asset allocation can reduce the probability of a large loss and perhaps the frequency of losing periods, but it is not a panacea for the elimination of portfolio risk. You can and will have periods when your portfolio is down in value. The key to success with any asset allocation strategy is to have the right portfolio for your needs, keep costs low, and control risk so that you don't panic in the face of occasional losses.

THE BIG RISK IN EVERY INVESTOR'S LIFE

Pension fund managers have the most practical definition of risk, namely, not having enough money to pay future retirement liabilities. This is also a good definition for individual investors to adopt. Running out of money in retirement is everyone's nightmare. The thought conjures up images of living out your old age in miserable substandard housing and relying on government money for subsistence, or worse, relying on family charity.

Every pool of capital is accumulated for a reason. The assets will be used to pay for some future liability, such as income needs during retirement, a down payment on a home, college for a child, charitable causes, or a legacy for heirs.

Funding a future liability is the ultimate goal of an investment portfolio. Retirement is a good example of long-term cash-flow needs. If we save enough while working and earn a high enough return on our assets during our life, then our annual retirement income should match or exceed our annual cash retirement outflows.

There is a minimum dollar amount that each person needs to meet all his future needs. This amount can be thought of as our personal financial